

Purpose

The purpose of this quick reference guide is to step through the process of creating AU Super Payee Withholding records. The intended audience for this document is system administrators / standard users.

Steps

Create a New Superannuation Payee Withholding Record

The AU Super Payee Withholding record holds the General Information, Superannuation Fund Details, and Superannuation Controls for a Payee's superannuation entitlements.

Create an AU Super Payee Withholding by following the below steps:

1. Navigate to the **Payee** record.
 - a. To identify a Payee record from an Employee record, enter the Employee name into the **Global Search** (see Figure 1).
 - b. Select the **Employee** record from the suggestions provided.
 - c. Open the **Related** tab (see Figure 2)
 - d. Identify the **Payee** record(s).
 - e. Select the **Payee** record

Figure 1

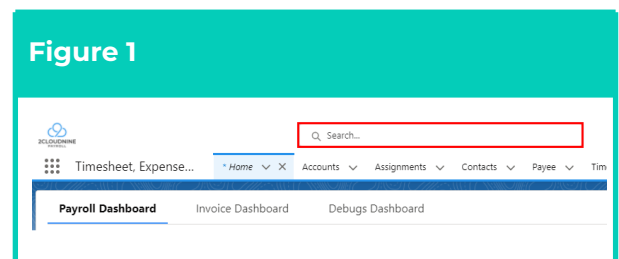
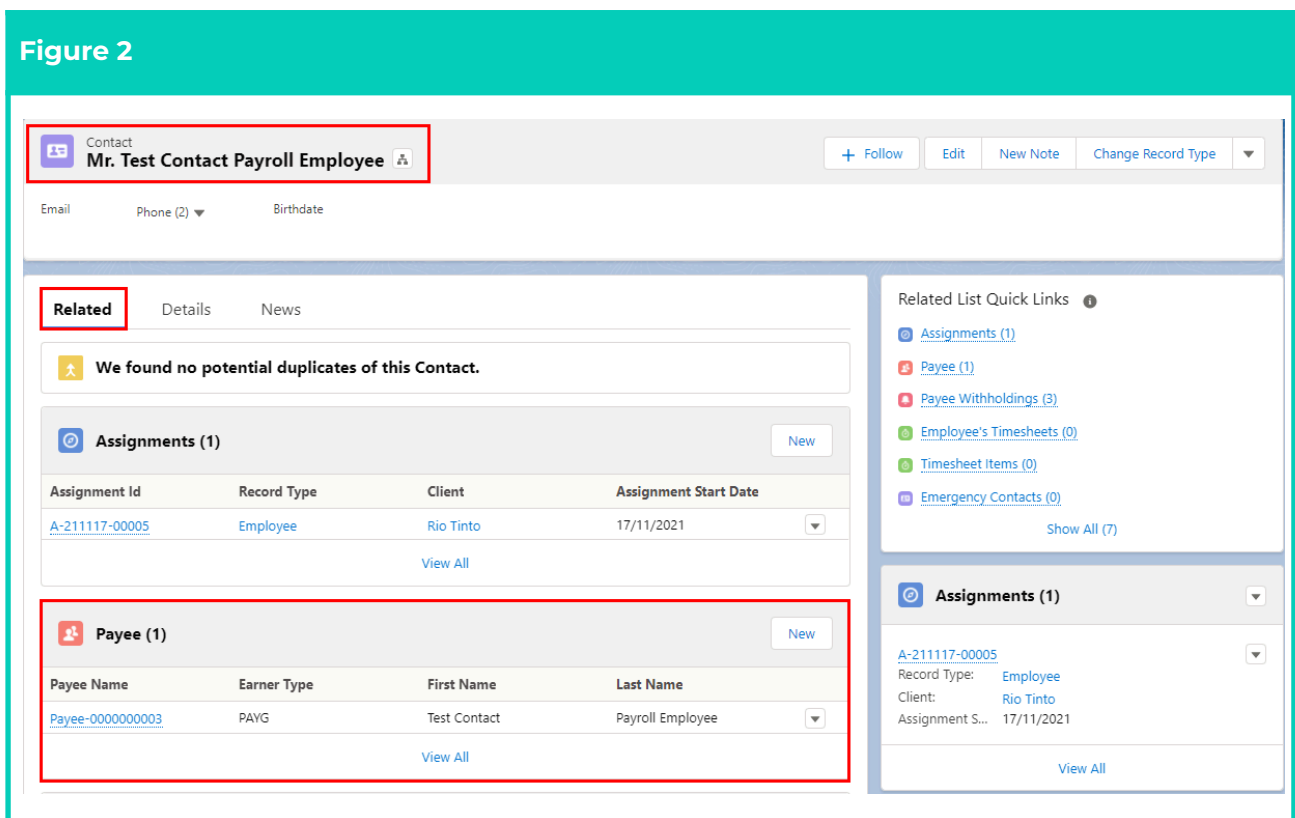


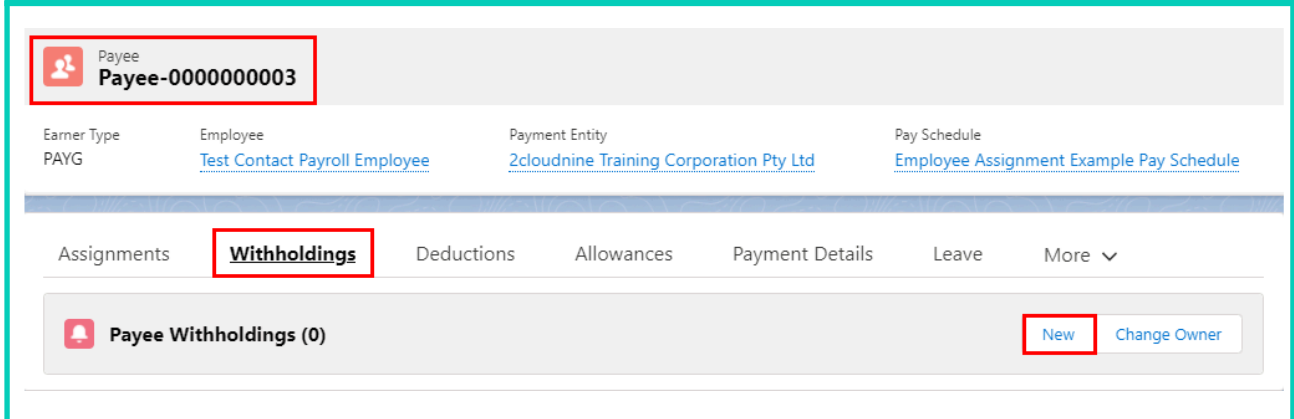
Figure 2



2. Click **Withholdings** from the tab options (see Figure 3).

3. Click **New**.

Figure 3



Payee
Payee-0000000003

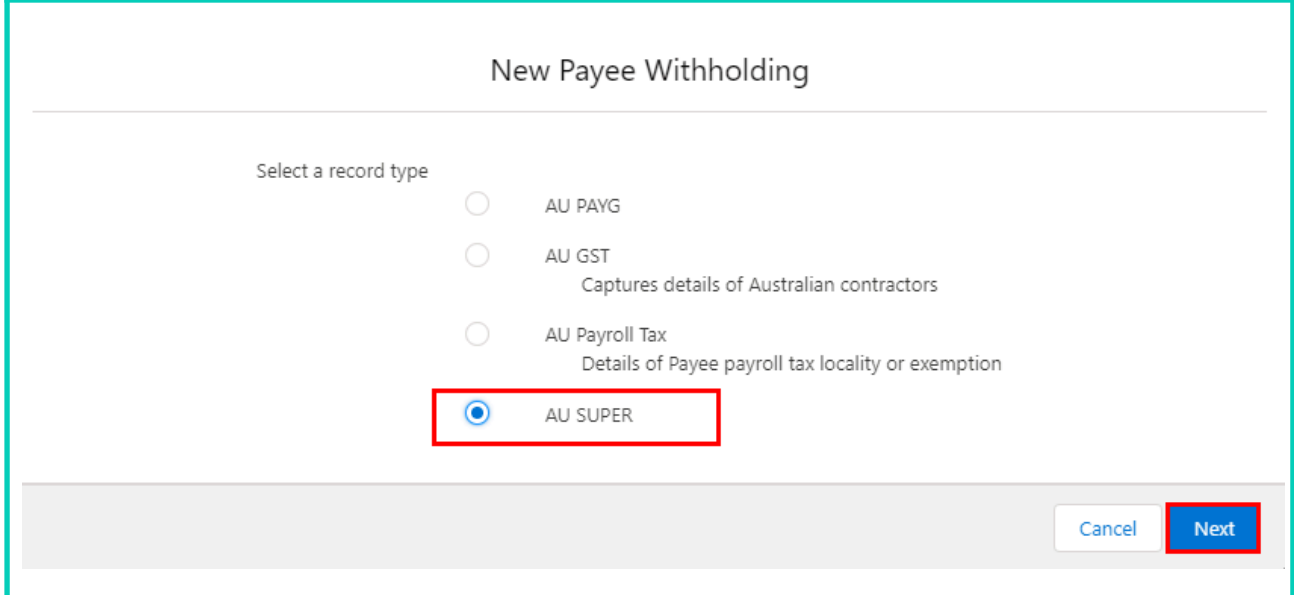
Earners Type: PAYG Employee: [Test Contact Payroll Employee](#) Payment Entity: [2cloudnine Training Corporation Pty Ltd](#) Pay Schedule: [Employee Assignment Example Pay Schedule](#)

Assignments **Withholdings** Deductions Allowances Payment Details Leave More ▾

Payee Withholdings (0) [New](#) [Change Owner](#)

4. Select **AU SUPER** from the available Record Types and click the **Next** button (see Figure 4).

Figure 4



New Payee Withholding

Select a record type

- ☐ AU PAYG
- ☐ AU GST
Captures details of Australian contractors
- ☐ AU Payroll Tax
Details of Payee payroll tax locality or exemption
- ☒ **AU SUPER**

[Cancel](#) [Next](#)

5. Follow this step in the sequence given below:
 - a. Populate the following required fields to provide the base details of the Payee Withholding record (see Figure 5):
 - i. **Employee**
 - ii. **Payee**
 - iii. **Effective Date**
 - iv. **Sort Order**
 - b. Populate the following optional fields as required (see Figure 5):
 - i. **Expiry Date**

Figure 5

New Payee Withholding: AU SUPER

Information

Payee Withholding Name

Employee ⓘ ↺

 Test Contact Payroll Employee X

Payee ⓘ ↺

 Payee-0000000003 X

Effective Date ⓘ ↺

1/6/2022 

Expiry Date ⓘ



Sort Order ⓘ ↺

1.000000

Owner

 Bianca Maxwell

Record Type

AU SUPER

Status ⓘ

Pending ▼

Pay Batch Event ⓘ

Search Pay Batch Events... 🔍

External ID ⓘ



The Pay Batch Event field will be automatically populated upon saving the record, and should not be manually entered.



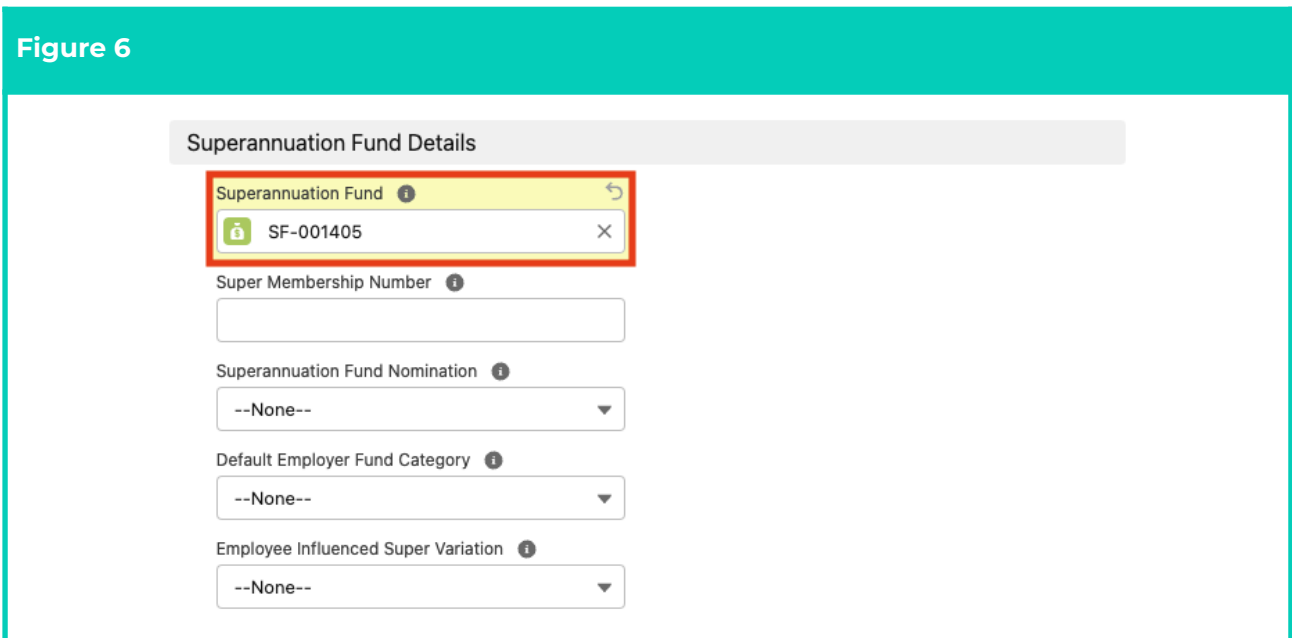
The Status of the Payee Withholding record will be automatically updated upon saving the record, based on the Effective Date and Expiry Date (see Figure 5).



The External ID field is available and should only be populated where system integration is required for the record.

- c. Populate the following required fields to provide the base details of the Payee Withholding record (see Figure 6):
 - i. To define the Employee-nominated superannuation account, populate the **Superannuation Fund** using the lookup options available.
 - If no superannuation account has been provided and cannot be identified for the Employee via ATO Online Services, you may nominate **Default Employer Fund** within the **Superannuation Fund Nomination** field as this will automatically populate the **Superannuation Fund** field with the details of the Default Employer Fund after saving.
- d. Populate the following optional fields as required (see Figure 6):
 - i. If known, enter the membership number in the **Super Membership Number** field.
 - ii. For APRA/RSA or Self-Managed Funds, validate the type of Fund nominated in the Superannuation Fund field by selecting from the available picklist options in the **Superannuation Fund Nomination** field.
 - iii. To set up a Superannuation Variation from the standard SGC amount, select from the available picklist options in the **Employee Influenced Super Variation** field.
 - If 'Yes' is selected, any Employer Superannuation Contributions above the current SGC rate will be calculated separately as Employer Additional and reported as RESC.
 - If 'No' is selected, the Employer Contributions will be listed on the SuperStream Lodgements as Award Contributions.
 - If you require it to be reported as SGC, this field should be blank.

Figure 6



Superannuation Fund Details

Superannuation Fund ⓘ 
 ⓘ SF-001405 ×

Super Membership Number ⓘ

Superannuation Fund Nomination ⓘ
 --None-- ▼

Default Employer Fund Category ⓘ
 --None-- ▼

Employee Influenced Super Variation ⓘ
 --None-- ▼



If the existing Super Fund nominated by the Employee cannot be identified, contact your System Administrator for assistance with the creation of a new Superannuation fund record.



If no Superannuation Fund has been nominated by the Employee, you must follow the instructions detailed in QRG Checking Stapled Superannuation to search for the Payees Stapled Superannuation via ATO Online Services.



If no Default Employer Fund has been configured within your Org, you must follow the instructions detailed in the QRG Create Superannuation Fund - Default Employer Fund to create the necessary record before it may be nominated as the preferred Fund for Employees.



Although it is optional, it is recommended for the Super Membership Number to be populated within the record to eliminate delays when processing related Superstream reporting and payments.



For Default Employer Fund nominations, the Superannuation Fund field may be automatically populated by selecting Default Employer Fund from the picklist values in the Superannuation Fund Nomination field. If another value is selected, it will be validated against the Superannuation Fund populated.

- e. Populate the following required fields to provide the base details of the Payee Withholding record (see Figure 7):
 - i. To determine how excess Employer Super Contributions should be processed, select from the available picklist options in the **Excess SGC Action** field.
- f. Populate the following optional fields as required (see Figure 7):
 - i. To define a value for the Superannuation Variation, populate either the **Super Variation Percentage** field or the **Super Variation Amount** field.
 - ii. To define an exemption from Employer SGC calculation for this Payee, select from the available picklist options in the **Super Exempt** field, and populate the **Super Exempt Reason** field.
 - iii. To override any Minimum Monthly Earnings limitations defined in the related Withholding Rule Item, populate the **Minimum Monthly Earnings** field.
 - iv. To override any Maximum Super Contribution Base limitations defined in the related Withholding Rule Item, populate the **Maximum Super Contribution Base** field.

Figure 7

Superannuation Controls

Excess SGC Action ⓘ ↺ No Action ▼ Super Variation Percentage ⓘ Super Exempt ⓘ --None-- ▼	Minimum Monthly Earnings ⓘ Maximum Super Contribution Base ⓘ Super Exempt Reason ⓘ
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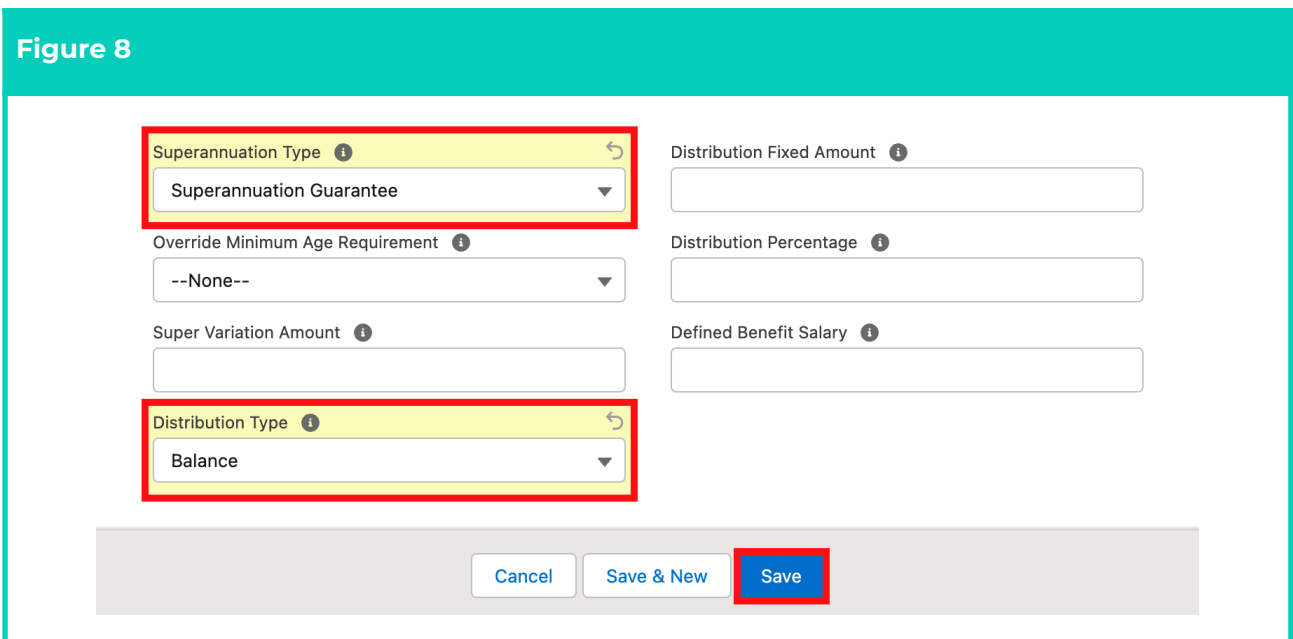


If you require SGC to continue to calculate beyond the default Maximum Super Contributions Base, users are required to enter a higher value into the field 'Maximum Super Contributions Base' on the Payee Withholding Record. If there is no limit, the recommended amount to enter is 9999999.

- g. Populate the following required fields to provide the base details of the Payee Withholding record (see Figure 8):
 - i. To determine how Super should be calculated for this Payee, select from the available picklist options in the **Superannuation Type** field.
 - ii. To determine how Super funds should be allocated to the Payee, select from the available picklist values in the **Distribution Type** field.
 - If **Balance** is selected, all unallocated Super funds will be allocated to the Payee.
 - If **Distribution Fixed Amount** is selected, the related field will need to be populated with an amount.
 - If **Distribution Percentage** is selected, the related field will need to be populated with a percentage.
- h. Populate the following optional fields as required (see Figure 8):
 - i. To define a value for the Superannuation Variation, populate either the **Super Variation Percentage** field or the **Super Variation Amount** field.
 - ii. To override the minimum age and working hour requirements for Super calculations, select from the available picklist options in the **Override Minimum Age Requirement** field.
 - iii. To define the annual salary on which defined benefit contributions will be calculated, populate the **Defined Benefit Salary** field.

6. Click on the **Save** button (see Figure 8).

Figure 8



The screenshot shows a form for creating a Payee Withholding record. The following fields are highlighted with red boxes to indicate they are required:

- Superannuation Type**: A dropdown menu with "Superannuation Guarantee" selected.
- Distribution Type**: A dropdown menu with "Balance" selected.

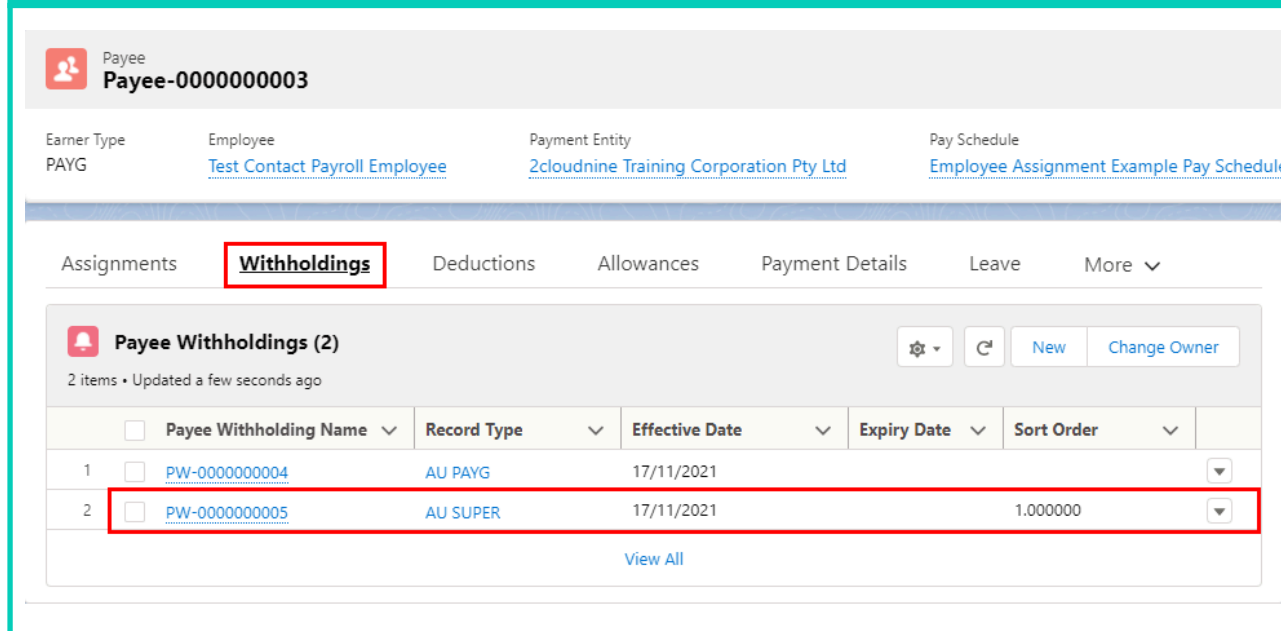
Other fields visible on the form include:

- Distribution Fixed Amount**: A text input field.
- Distribution Percentage**: A text input field.
- Override Minimum Age Requirement**: A dropdown menu with "--None--" selected.
- Super Variation Amount**: A text input field.
- Defined Benefit Salary**: A text input field.

At the bottom of the form, there are three buttons: "Cancel", "Save & New", and "Save". The "Save" button is highlighted with a red box.

A new **AU SUPER Payee Withholding** record is now created (see Figure 9).

Figure 9



The screenshot shows the 'Payee Withholdings' section for a specific payee. The 'Withholdings' tab is selected and highlighted with a red box. Below the tabs, there's a header for 'Payee Withholdings (2)' with a settings icon, a refresh icon, and buttons for 'New' and 'Change Owner'. Below this is a table with the following data:

	☐ Payee Withholding Name	☐ Record Type	☐ Effective Date	☐ Expiry Date	☐ Sort Order	
1	☐ PW-0000000004	AU PAYG	17/11/2021			☐
2	☐ PW-0000000005	AU SUPER	17/11/2021		1.000000	☐

Below the table is a 'View All' link.



Payee Withholding records **CANNOT** be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.

- To modify an existing **Payee Withholding** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click within fields that need editing or just click on the pencil icon  that appears within fields when hovering with your cursor.
- When complete, click on the **Save** button.

Field Descriptions

Default Employer Fund Category enables employers to have multiple Default Superannuation Funds per Payment Entity, but that might only be for particular areas of the business. This restricts which Default Superannuation Fund will apply to this Payee.

Defined Benefit Salary if the Superannuation Type is Defined Benefit, this is the annual salary on which the Defined Benefit Contributions will be calculated.

Distribution Fixed Amount if Distribution Type is Fixed Amount, this is the fixed amount to be applied during superannuation distribution where multiple funds are being used for this payee.

Distribution Percentage if Distribution Type is Percentage, this is the percentage to be applied during superannuation distribution where multiple funds are being used for this payee.

Distribution Type

- For Fixed Amount, funds will be distributed to the value defined in the Fixed Amount field.
- For Percentage, funds will be distributed to the percentage rate defined in the Percentage field.
- For Balance, all unallocated funds will be allocated.

Effective Date is the date the Withholding is effective. Withholdings will not be calculated before this date.

Employee is the Employee record this Payee Withholding Record relates to. This must match the Employee of the Payee.

Employee Influenced Super Variation indicates whether the Payee influenced a higher rate of Employer Superannuation. If 'Yes' is selected, any Employer Superannuation Contributions above the current SGC rate will be calculated separately as Employer Additional and reported as RESC. If 'No' is selected, then the Employer Contributions will be listed on the SuperStream Lodgements as Award, but if you require it to be reported as SGC, this field should be blank.

Excess SGC Action determines how the Pay Batch processing will calculate and handle excess Employer Superannuation Contributions.

- No Action = Superannuation calculation will stop at the applicable Maximum Contribution Base. No refund will be calculated automatically.
- Refund = Superannuation calculation will stop at the applicable Maximum Contribution Base and any refund will be automatically paid to the Payee in the same Pay Batch using your Pay Code where the 'Excess SGC Refund' checkbox is ticked
- Deduction = same as Refund, however, the value will be directed to an existing Payee Deduction Record where the Deduction Rate Type is Percentage of SGC Refund. All or part of the refund can be directed to the Payee Deduction Record based on the deduction rate entered on it.

Exclude From Auto Update when this is checked the record will be skipped by the Automatic Status Update scheduled job.

Expiry Date is the date the Payee Withholding expires. Calculations will not be made after this date. If blank, no expiry currently applies.

External ID defines the ID of the corresponding record in an external system that has been used to create/update this record.

Maximum Super Contribution Base where an amount is entered, this overrides the default maximum superannuation contribution base.

Minimum Monthly Earnings where an amount is entered, this overrides the default minimum monthly earnings.

Payee is the Payee record this Payee Withholding Record relates to.

Sort Order is the order in which contributions will be applied where a Payee distributes their Superannuation across more than one fund.

Superannuation Fund is the Superannuation Fund this Payee's contributions will be directed to.

Superannuation Fund Nomination is the type of fund nominated by the Payee:

- APRA or RSA Fund
- Default Employer Fund
- Self Managed Fund

Superannuation Type determines which type of superannuation calculation will be performed during Pay Batch calculation, either Superannuation Guarantee or Defined Benefit.

Super Exempt indicates that the Payee is exempt from employer SGC calculation.

Super Exempt Reason is the description of why this Payee is exempt from superannuation contributions.

Super Membership Number is the membership number of this Payee with this Superannuation Fund.

Super Variation Amount where populated, this overrides the default superannuation rate set at an Org Wide level.

Super Variation Percentage where populated, this overrides the default superannuation rate set at an Org Wide level.

Further Information

Document	Document Type	Description
QRG Create a Payee record	Task Instructions	How to create a Payee Record
QRG Create Payee Withholdings - AU Payroll Tax	Task Instructions	How to create Payroll Tax Payee Withholding Records
QRG Create Payee Withholdings - AU PAYG	Task Instructions	How to create PAYG Payee Withholding Records
QRG Create Payee Withholdings - AU GST	Task Instructions	How to create GST Payee Withholding Records
QRG Checking Stapled Super	Task Instructions	How to check for an Employee's Stapled Superannuation Fund
QRG Create Superannuation Fund - Default Employer Fund	Task Instructions	How to create a Default Employer Fund

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